The University of Hong Kong
HKU Business School

PMBA6036 Advanced Corporate Finance

I. Instructor Information

Instructor: Prof. K. S. Maurice Tse
e-mail: ktse@hku.hk
Class Venue: Admiralty TC
Dates: Jan 24, 31, Feb 07, 14 (Saturdays), and Mar 01 (Sunday)
Time: 9:30am to 5:00pm
Consultation Hour: By Appointment

II. Course Description

This course is the second course to Corporate Finance and aims to equip you with the theories and the tools that will enable you to make sound business and financial decisions under uncertainty.

Finance is a complex subject area evolving quickly with proliferation of new financial products and services, growth of new theories and concepts, and emergence of new global investment opportunities. Most of the theories to be covered in this course are time-honored in the business world. In fact, the financial economists who developed these theories have won the Nobel Prize in Economics in the last decade or so.

To discuss in details every subject area related to finance is not time-permissible in any single course, which implies this course is challenging and time-consuming. In this course we will discuss the basic insights of corporate finance theory and then dive right into the practical application of theory. To help you see the forest among the trees, every attempt will be made to avoid unnecessary mathematical and technical details. My aim is to present to you in an intuitive manner the financial principles that are of great practical value in the field of corporate finance.

This course consists of three parts. Part I covers financing needs and capital structure. Part II develops tools needed for valuing investment projects and companies. Part III deals with the concepts of options and derivatives and their applications in corporate finance and risk management. The topics to be covered include:

- Capital Structure: Theory and Practice
- Cost of Capital
- Valuation: WACC versus APV
- Dividend Policy
- Convertible Debt
- Mergers and Acquisitions
- Options
- Real Options for Valuation and Strategic Decision
- Business Ethics

Pre-requisite

Students are supposed to have acquired the following basic concepts from the course on Corporate Finance.

- Time value of money; Valuation of stock and bond; Concept and measurement of risk and return; Risk and return analysis; Optimal portfolio choice; CAPM; Investment decision rules; NPV, IRR, Payback period; Cash flow valuation; Market efficiency; Financing decision; Capital structure; equity & debt financing; Dividend payout policy.

Course Objective

The objective of this course is to equip you with the theories and the tools that will enable you to make sound business and financial decisions under uncertainty.

III. Course Learning Outcomes (CLOs)

Upon completion of this course, you should be able to:

CLO1	Evaluate the financing need of a firm and appraise the impact of various possible capital structure decisions on the value of the firm.
CLO2	Understand the implications of capital structure theory and apply the concepts in valuing investment projects, business and firm as well as analyzing mergers and acquisitions.
CLO3	Apply the concept of options and derivatives in project evaluation and in corporate strategic decision-makings
CLO4	Formulate and implement effective risk management program to deal with business risks
CLO5	Identify and evaluate business options and opportunities and make recommendations

IV. Alignment of Programme and Course Learning Outcomes (CLOs)

Program Learning Outcome		**Aligned Course Learning Outcome**
PLO1	Acquisition and internalization of business knowledge and skills in key functional areas	CLO1, CLO2
PLO2	Application of business knowledge to solve business problems	CLO3, CLO4, CLO5
PLO3	Developing global outlook	CLO4, CLO5
PLO4	Mastering communication skills	CLO3, CLO5

V. Teaching and Learning Activities (TLAs)

The course will consist of lectures, tutorial sessions (to be scheduled and announced), class discussion, and group case reports.

TLA	Content	Aligned CLOs
TLA1	Lectures: Instructor will give lectures on major concepts and issues.	CLOs 1-5
TLA2	Cases: Students will be asked to solve cases by groups and submit written reports. The objective of these cases is to give students an opportunity to study in depth about corporate finance and then apply concepts and tools they learn on real-world problems. The written report should demonstrate students' understanding of corporate finance by integrating theories and reality considerations.	CLOs 1-5
TLA3	Tutorials and consultation: The teaching assistant will hold weekly sessions to address students' questions and illustrate important examples to highlight major points covered in class.	CLOs 1-5
TLA4	Class participation: Students are encouraged to raise questions in class and actively participate in the class discussion.	CLOs 1-5

Required Text and Materials

- Principles of Corporate Finance, Brealey, Myers and Allen, McGraw Hill 13th edition.
- Analysis for Financial Management, Robert C. Higgins, 8th McGraw Hill-Irwin.
- Lecture notes will be distributed before or during class.
- The following articles are the assigned readings on the topics covered in this course.

1. Capital Structure theory: A Current Perspective
2. Valuation Methods and Discount Rate Issues
3. Corporate Valuation and Market Multiples
4. Using APV: A Better Tool of Valuing Operations
5. Evaluating M&A Deals *
6. Investment Opportunities as Real Options
7. Real Options: Valuing Managerial Flexibility
8. Valuing Risky Debt
9. CEOs are Getting Fired for Ethical Lapses
10. CLP Group: ESG and Their Effects on Valuation (A)

VI. Assessment

The course grade will be determined based on one individual case assignment, one group case presentation and one Final. The weight distribution is as follows:

Assessment		Weight	Alignment
A1	Attendance and participation	10%	CLOs 1-5
A2	One Individual Assignment	20%	CLOs 1-5
A3	One Group Case Presentation with Report	30%	CLOs 1-5
A4	Final Examination	40%	CLOs 1-5

SIX groups are to be formed with fIVE to SIX members each (Optimal number is 6). Students are required to work on one group case analysis WITH presentation. Each presenting group is required to submit a case report based on the presentation as memoranda to the decision makers. The case analysis report should be professional and clearly written, with discussion and recommendations. The presentation powerpoint file will be accepted as the report. The final course grade will be adjusted for attendance and class participation. The group case analysis report will be due at the beginning of the class for discussion.

VII. Standard for Assessment

Grade	Standard for Grade
A+ A A-	• All aspects were addressed and researched in great depth. • Demonstrates a clear understanding of and the ability to apply and theory, concepts and issues relating to the topic. • Able to clearly identify the most critical aspects of the task and adopt a critical perspective. Excellent development of argument and offers a logically consistent and well-articulated analysis and insight into the subject. Draws widely from the academic literature and elsewhere whilst maintaining relevance All aspects conform to a high academic / professional standard
B+ B B-	• Most aspects were addressed and researched in depth. • Demonstrates a good understanding and some application of the theory and issues relating to the topic. • Able to identify critical aspects of the task and adopt a critical perspective. Some evidence of analysis, supported by logical argument and insight into the subject. Draws on relevant academic and other material. Most aspects conform to a high academic / professional standard.
C+ C C-	• Most aspects were addressed and researched adequately. • Demonstrates a good understanding of the theory, concepts and issues relating to the topic but limited application relating to the topic. • Some argument presented showing some insight but not always consistent and logical. Draws upon an adequate range of academic and other material Most aspects conform to an acceptable academic / professional standard.
D+ D	• Basic aspects were addressed and researched adequately. • Demonstrates mainly description, showing basic understanding of the topic but no application. Little evidence of analysis but no clear and logical argument relating to the subject. Draws primarily upon course materials. Limited aspects conform to academic / professional standards.
F	• Basic aspects were superficial, inadequate or absent. • Demonstrates limited understanding of the topic and draws conclusions unrelated to the topic. The written work is not of an academic / professional standard.

VIII. Academic Integrity

The University Regulations on academic dishonesty will be strictly enforced. Please check the University Statement on plagiarism on http://www.hku.hk/plagiarism/.

Cheating or plagiarism of any kind would result in an automatic F grade for the course plus strict enforcement of all Faculty and/or University regulations regarding such behavior. Incident(s) of academic dishonesty will NOT be tolerated.

Academic dishonesty is a behavior in which a deliberately fraudulent misrepresentation is employed in an attempt to gain undeserved intellectual credit, either for oneself or for another. It includes, but is not necessarily limited to, the following types of cases:

a. Plagiarism - The representation of someone else's ideas as if they are one's own. Where the arguments, data, designs, etc., of someone else are being used in a paper, report, oral presentation, or similar academic project, this fact must be made explicitly clear by citing the appropriate references. The references must fully indicate the extent to which any parts of the project are not one's own work. Paraphrasing of someone else's ideas is still using someone else's ideas, and must be acknowledged.

b. Unauthorized Collaboration on Out-of-Class Projects - The representation of work as solely one's own when in fact it is the result of a joint effort.

c. Cheating on In-Class Exams - The covert gathering of information from other students, the use of unauthorized notes, unauthorized aids, etc.

d. Unauthorized Advance Access to an Exam - The representation of materials prepared at leisure, as a result of unauthorized advance access (however obtained), as if it were prepared under the rigors of the exam setting. This misrepresentation is dishonest in itself even if there are not compounding factors, such as unauthorized uses of books or notes.

IX. Course Content and Tentative Teaching Schedule

Date and Time	*Topics, Assignments and Readings*
Class 1: Jan 24 (Saturday) 9:30 am-12:30 pm	• **Introduction and Overview** **Individual Case Assignment** "Debt Policy and Valuation Individual case assignment will be due at the beginning of **Class 5**.
Class 2: Jan 24 (Saturday) 2:00 pm-5:00 pm	• **Capital Structure and Cost of Capital** **Group Case Assignment with Presentation:** • A New Financial Policy at Swedish Match-- Groups 1 & 2 • Blaine Kitchenware – Group 3 • Valuation and Financing of Lady M Confections—Group 4 • Goodyear Tire & Rubber: M&A Synergies – Groups 5 & 6 **Background Reading:** • BMA Ch 15: How Corporations Issue Securities • BMA Ch 17: Does Debt Policy Matter?? **Articles:** • 1. HBS Capital Structure Theory: A Current Perspective
Class 3: Jan 31 (Saturday) 9:30 am-12:30 pm	• **Capital Structure and Cost of Capital** **Background Reading:** • BMA Chapter 18: How Much Debt Should a Firm Borrow
Class 4: Jan 31 (Saturday) 2:00 pm-5:00 pm	• **Valuation and Cost of Capital** **Articles:** • 2. "Valuation Methods and Discount Rate Issues
Class 5: Feb 07 (Saturday) 9:30 am-12:30 pm	• **Valuing Companies** Discuss: Individual Assignment "Debt Policy and Valuation" **Background Reading:** • BMA Ch 5: Net Present Value and Other Investment Criteria • BMA Ch 6: Making Investment Decisions with the Net Present Value Rule • BMA Ch 19: Financing and Valuation • BMA Ch 31: Mergers • BMA Ch 32: Corporate Restructuring **Articles:** • 3. "Corporate Valuation and Market Multiples"

Class 6: Feb 07 (Saturday) 2:00 pm-5:00 pm	• **Valuing Companies** • *Illustration: New World Development* **Articles:** • 4. "Using APV: A Better Tool of Valuing Operations"
Class 7: Feb 14 (Saturday) 9:30 am-12:30 pm	• **Mergers and Acquisitions** **Articles:** • 5. "Evaluating M&A Deals"
Class 8: Feb 14 (Saturday) 2:00 pm-5:00 pm	• **Real Options** **Background Reading:** • BMA Chapter 20: Understanding Options • BMA Chapter 21: Valuing Options • BMA Chapter 22: Real Options • BMA Chapter 23: Credit Risk and the Value of Corporate Debt **Articles:** • 6. "Investment Opportunities as Real Options" • 7. "Real Options: Valuing Managerial Flexibility"
Class 9: Mar 01 (Sunday) 9:30 am-12:30 pm	• **Real Options: Valuing Risky Debt** **Articles:** • 8. "Valuing Risk Debt" Harvard Business School article • 9. CEOs are Getting Fired for Ethical Lapses More Often
Class 10: Mar 01 (Sunday) 2:00 pm-5:00 pm (Group case presentations)	• **Case Presentation and Discussion** ○ A New Financial Policy at Swedish Match –Groups 1 ○ Blaine Kitchenware – Group 2 ○ Valuation and Financing of Lady M Confections – Group 3 ○ Goodyear Tire & Rubber: M&A Synergies – Group 4 ○ **CLP Group: ESG and Their Effects on Valuation – Groups 5 & 6**

Deadlines	**Assignments**
Class 7: **Feb 14 (Saturday)** *Individual assignment due	• Debt Policy and Valuation*
Class 10: **Mar 01 (Sunday)** **Group Presentations and Reports due	• A New Financial Policy at Swedish Match ** • Blaine Kitchenware ** • Valuation and Financing of Lady M Confections ** • Goodyear Tire & Rubber: M&A Synergies ** • **CLP Group: ESG and Their Effects on Valuation**